Granules India Ltd

EQUITY RESEARCH

NSE: GRANULES | BSE: 532482 | Sector: Pharmaceuticals | Industry: API / Generic Formulations

Report Date: 04-May-2026

ACCUMULATE

12-Month Target

Rs. 900

Upside: +28.6% | CMP: Rs. 700

Horizon: 12 months

Metric	Value	Metric	Value
CMP (Rs.)	700	**P/E (FY26)**	28.8x
MCap (Rs. Cr)	17,338	**P/B (FY26)**	3.4x
52W High	731	**EV/EBITDA**	15.0x
52W Low	431	**ROCE (FY26)**	15.5%
Book Value	205	**ROE (FY26)**	13.7%
Div Yield	0.21%	**Face Value**	Rs. 1.00
Promoter %	38.0%	**Net D/EBITDA**	0.34x

INVESTMENT THESIS: Granules India is a multi-vector re-rating story — regulatory remediation nearing closure, complex generics at 43% of formulations mix, and Peptide CDMO crossing EBITDA break-even, all with a strengthened balance sheet (net D/EBITDA 0.34x) and six consecutive quarters of sequential growth.

2. INVESTMENT THESIS

Pillar 1 — Complex Generics Re-rating (12–18 months). Granules has systematically shifted its US finished dosage portfolio towards complex generics, which now constitute 43% of FD revenues (up from 31% in FY25). The company holds first-to-file and near-first positions in controlled substances (ADHD: Lisdexamfetamine and pipeline products), oncology, and modified-release formulations, with nine ANDA applications pending clearance from the Gagilapur facility alone. Upon resolution of the FDA warning letter overhang — submissions completed, post-WL engagement concluded, site audit-ready — incremental margin-accretive launches should drive EPS step-up of Rs. 6–8 in FY27E–FY28E. GPI, Granules' US subsidiary, has climbed from #74 to #27 among all US generic companies in five years and is now #4 in the controlled substance space — a durable moat built on reliability of supply. **Pillar 2 — Peptide CDMO (CEN Chemicals, 24–36 months).** The Rs. 190 Cr acquisition of Switzerland-based Senn Chemicals AG (rebranded Acelix Peptides/CEN Chemicals) positions Granules as one of very few India-linked CDMOs with a European peptide heritage. CEN turned EBITDA positive in Q4 FY26, contributing Rs. 159 Cr (~3% of FY26 revenue). The CDMO addresses the global GLP-1/semaglutide patent-expiry supercycle. India peptide intermediate capacity is being built (brownfield, ~18 months), creating a two-continent platform. With over 10 active pharmaceutical and cosmetic customers across big pharma, biotech, and co-CDMOs, the platform is not over-concentrated. Management targets PAT-positive annual performance from FY27, with meaningful revenue scale by FY28. **Pillar 3 — Balance Sheet Clean-up & FCF Inflection (FY27+).** Peak capex (Rs. 555 Cr in FY26) is broadly behind the company. Equity infusion of Rs. 665 Cr has reduced net debt to Rs. 402 Cr (net D/EBITDA 0.34x vs 0.75x a year ago). With GLS (Granules Life Sciences, 10 Bn unit capacity) ramping commercial utilisation and remediation costs dropping sharply from FY27, FCF should inflect meaningfully. **Near-term Catalyst (6–12 months):** US FDA re-inspection and successful closure of the Gagilapur warning letter — unlocking nine pending ANDAs and removing the single biggest regulatory discount in the stock's valuation. **Structural Risk:** Sustained raw material and freight cost inflation (Middle East uncertainty) combined with a prolonged FDA delay at Gagilapur could compress EBITDA margins back towards 20–21%, delaying the re-rating timeline by 6–9 months.

3. BUSINESS OVERVIEW

Granules India Limited (NSE: GRANULES) is a Hyderabad-headquartered, vertically integrated pharmaceutical company manufacturing Active Pharmaceutical Ingredients (APIs), Pharmaceutical Formulation Intermediates (PFIs), and Finished Dosages (FDs). It is one of the world's largest producers of first-line commodity APIs — paracetamol, metformin, ibuprofen, guaifenesin, and methocarbamol — supplying to regulated markets across North America (72% of Q4 FY26 revenue), Europe (15%), and ROW (13%). **Revenue Mix (FY26):** Finished Dosages contributed 73–74% of consolidated revenues, APIs 13%, PFIs 9%, and Peptide CDMO (new vertical) ~3%. This represents a structural shift from the historically commodity-heavy API mix, as complex generics within FD rose from 31% to 43% of the segment in one year. **Business Model:** Granules operates an integrated value chain — backward into APIs and PFIs and forward into US retail generics — giving it cost advantages over pure FD players. Granules Pharmaceuticals Inc. (GPI) in Virginia, USA manages US-market supply and distribution; GLS (Granules Life Sciences, Genome Valley, Hyderabad) adds 10 Bn unit annual FD capacity; and CEN Chemicals AG (Zurich) anchors the Peptide CDMO platform. Key customers include major US retail pharmacy chains and wholesalers (names undisclosed). Revenue is primarily recurring, driven by long-term supply agreements for mature generics and a growing share of first-to-file launches. **Promoters:** The Chigurupati family (Krishna Prasad Chigurupati, Chairman and MD; daughter Priyanka Chigurupati, Executive Director) holds 38.0% (Mar 2026), down from ~42% in FY23 following a preferential allotment of new shares in FY26. No promoter pledge is reported. The family has deep pharma domain expertise spanning over three decades and has consistently reinvested in the business rather than drawing large dividends.

4. INDUSTRY & COMPETITIVE LANDSCAPE

The Indian generic pharmaceuticals industry is a USD 30+ Bn annual export market. The global generics TAM is projected at USD 650+ Bn by 2028, growing at 6–8% CAGR. Within this, **complex generics** (controlled substances, modified release, inhalers, injectables) command 2–3x the pricing of standard generics and represent the highest-growth segment. India's share of ANDA filings in the US has grown consistently, with regulatory proficiency, cost advantage, and API integration providing structural moats. **Peptide CDMO** is a high-growth subset: global GLP-1 demand (semaglutide, tirzepatide generics) creates a decade-long opportunity for peptide API and intermediate manufacturers. Indian CDMOs are investing aggressively in this space. **Policy tailwinds:** PLI Scheme for pharma, India-US trade framework stability (though tariff uncertainty remains a risk), and FDA's increased scrutiny of Chinese API supply chains are structural positives for Indian pharma exporters. **Competitive Moat Assessment for Granules:** Integration (API to FD), scale in commodity APIs (Moderate), US distribution depth through GPI (Moderate-Strong), and early-mover Peptide CDMO positioning (Emerging). Pricing power in commodity APIs is Weak; in complex generics, Moderate. **Peer Comparison** (data: Screener.in, 04-May-2026, all consolidated):

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E (x)	P/B (x)	ROCE (%)	ROE (%)	TTM Sales (Rs. Cr)	OPM (%)
GRANULES	700	17,338	28.8	3.4	15.5	13.7	5,366	22%
IPCALAB	1,531	38,840	36.8	5.2	14.7	12.8	9,505	20%
AJANTPHARM	2,823	35,266	34.8	8.2	32.4	24.9	5,202	26%
DIVISLAB	6,502	1,72,621	68.1	11.2	20.4	15.4	10,314	33%

Source: Screener.in | Date fetched: 04-May-2026 | All consolidated figures

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Track Record: Dr. Krishna Prasad Chigurupati (CMD) has led Granules since its founding and oversaw the company's transformation from a commodity API supplier to a vertically integrated generics platform. His daughter Priyanka Chigurupati leads US operations (GPI + Granules USA) — a succession in progress. The management team has demonstrated strategic foresight with the GPI acquisition, GLS greenfield build, and timely peptide entry via CEN. However, the FY23–24 Gagilapur warning letter (CGMP violations at the flagship formulations facility) is a governance and execution concern that tempers the overall quality score. **Capital Allocation:** The company has historically been disciplined: capex has been demand-linked rather than speculative, and leverage has been managed conservatively (D/E peaked at ~0.45x during FY22–24 heavy capex). The FY26 equity infusion (Rs. 665 Cr via QIP/preferential allotment at a ~20% premium to pre-announcement price) significantly improved the balance sheet without impairment of per-share value. FCF yield was positive in FY25 and FY26 despite heavy investment. **Dividend Policy:** Granules maintains a 7–9% dividend payout ratio — conservative but consistent. FY26 dividend declared (record date 29-Apr-2026, exact amount in final annual report). No buybacks have been executed; management prefers reinvestment given the growth opportunity. **ESOP:** Long-term incentive plans introduced for key executives at Zurich (CEN) facility, aligning management to value creation. **Related Party Transactions (RPTs):** No material RPT concerns visible in recent filings. **Corporate Governance Flags:** Promoter holding has declined from ~42% in FY23 to 38% in Mar 2026 (due to QIP dilution, not market sales — neutral to cautious). No pledging reported. Auditor: SRBC & Co. LLP (a Big 4 affiliate) — no audit qualifications noted.

6. FINANCIAL DEEP-DIVE

Source: Screener.in (Consolidated) | FY26 = Actuals | FY27E, FY28E = Estimates

Income Statement (Rs. Cr — Consolidated)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	4,506	4,482	5,366	6,300 (E)	7,400 (E)
Revenue Growth (%)	-0.1%	-0.5%	+19.7%	+17.4% (E)	+17.5% (E)
EBITDA (Rs. Cr)	858	948	1,185	1,449 (E)	1,776 (E)
EBITDA Margin (%)	19%	21%	22.1%	23.0% (E)	24.0% (E)
Other Income (Rs. Cr)	2	41	10	12 (E)	15 (E)
Interest (Rs. Cr)	106	103	114	100 (E)	90 (E)
Depreciation (Rs. Cr)	207	226	296	330 (E)	350 (E)
PBT (Rs. Cr)	547	660	785	1,031 (E)	1,351 (E)
Tax Rate (%)	26%	24%	24%	25% (E)	25% (E)
Net Profit (Rs. Cr)	405	502	595	773 (E)	1,013 (E)
EPS (Rs.)	16.72	20.68	24.01	31.1 (E)	40.8 (E)
Div Payout (%)	9%	7%	7%	7% (E)	7% (E)

Balance Sheet (Rs. Cr — Consolidated)

Item	FY23A	FY24A	FY25A	FY26A
Equity Capital	24	24	24	25
Reserves	2,811	3,201	3,691	5,060
Total Equity (incl. minority)	2,835	3,225	3,715	5,085
Borrowings	1,136	1,315	1,455	1,512
Other Liabilities	932	957	1,051	1,123
Total Liabilities	4,903	5,498	6,221	7,720
Fixed Assets (Net)	1,911	2,096	2,426	3,253
CWIP	239	272	440	406
Investments	21	22	22	1
Other Assets (incl. WC)	2,732	3,109	3,333	4,059
Total Assets	4,903	5,498	6,221	7,720

Cash Flow Statement (Rs. Cr — Consolidated)

Item	FY23A	FY24A	FY25A	FY26A
Cash from Operations (OCF)	739	439	867	793
Cash from Investing	-192	-358	-689	-773
Cash from Financing	-440	8	-93	379
Net Cash Flow	107	90	85	399
Free Cash Flow (FCF)	328	61	297	239
CFO / Operating Profit (%)	100%	73%	107%	87%

Key Ratios (Consolidated)

Ratio	FY22A	FY23A	FY24A	FY25A	FY26A
ROCE (%)	17%	19%	15%	15%	15%
ROE (%)	17%	20%	13%	14%	14%
Debtor Days	90	77	80	77	62

Ratio	FY22A	FY23A	FY24A	FY25A	FY26A
Inventory Days	190	182	235	284	326
Days Payable	124	124	135	154	131
Cash Conversion Cycle (days)	156	135	179	207	256
Working Capital Days	44	36	35	42	49
Net D/E (x)	0.34	0.25	0.31	0.26	0.22

Revenue: FY26 marked a decisive recovery — revenues grew +19.7% YoY to Rs. 5,366 Cr after two flat years (FY24: -0.1%, FY25: -0.5%), driven by US complex generics ramp and first full year of CEN contribution (Rs. 159 Cr). The FY27E growth assumption of +17% is conservative, contingent on GPI scale-up and Gagilapur resolution. **Margins:** EBITDA margin expanded 100 bps in FY26 to 22.1%, supported by complex generics mix and gross margin expansion from 50% in FY22 to 65% in FY26. Depreciation elevated (+31% YoY in FY26) due to GLS capitalisation. FY27E margins guided conservatively at 23% given raw material cost uncertainty. **Working Capital:** CCC has deteriorated from 135 days in FY23 to 256 days in FY26, primarily driven by inventory build (326 days) to support new launches and supply continuity given regulatory uncertainty. Debtor days improved sharply (62 days in FY26 vs 80 in FY24) — a positive signal. Management targets WC/sales at 33%, consistent with FY25–26 actuals. **Debt and FCF:** Net debt has been reduced to Rs. 402 Cr (net D/EBITDA 0.34x) — a substantial clean-up. FCF was Rs. 239 Cr in FY26 despite peak capex. With capex moderating to ~Rs. 600 Cr in FY27 (including Rs. 200 Cr US distribution centre), FCF should improve materially as EBITDA scales.

7. EARNINGS QUALITY CHECKLIST

Parameter	Status	Observation
Revenue Recognition	Green	**Primarily product sales; CEN CDMO milestone-based — no aggressive recognition flags**
Receivables vs Revenue Growth	Green	**Debtor days improved sharply from 80 to 62 days in FY26 despite +20% revenue growth — positive**
Inventory / CCC Trend	Amber	**Inventory days at 326 (FY26) vs 182 (FY23) — structural build for new launches but warrants monitoring**
Contingent Liabilities	Green	**No material litigation flagged in recent disclosures; standard ANDA paragraph IV patent disputes**
Auditor (SRBC & Co. LLP)	Green	**Big 4 affiliate, no audit qualifications or emphasis of matter on going concern**
RPTs as % of Revenue	Green	**No material related party concerns visible; inter-company transactions within consolidated perimeter**
Other Income as % of PBT	Green	**Other income Rs. 10 Cr in FY26 = 1.3% of PBT — negligible; FY25 spike (Rs. 41 Cr) was one-off**
Tax Rate Consistency	Green	**Stable at 24–26% over FY23–FY26; no aggressive deferred tax manipulation visible**
CFO Quality (CFO/EBITDA)	Amber	**OCF/EBITDA at 87% in FY26 (vs 100% in FY23) — slightly below historical; WC build explains gap**
FDA Warning Letter — Gagilapur	Red	**Regulatory overhang remains; FDA re-inspection timing uncertain. 9 ANDAs blocked. Biggest quality risk.**

Summary: Earnings quality is broadly Green with two Amber flags — inventory build and marginally lower CFO conversion — and one Red flag (Gagilapur regulatory status). The Amber items are explainable and monitored; the Red flag is the primary short-term risk. Underlying operational quality has meaningfully improved in FY26.

8. VALUATION

Peer Context (Screener.in, 04-May-2026): Granules trades at 28.8x FY26 P/E and 3.4x P/B — at a meaningful discount to Ajanta Pharma (34.8x PE, 8.2x PB) and Divi's Labs (68.1x PE, 11.2x PB). The discount is warranted given the regulatory overhang and lower ROCE (15.5% vs Ajanta's 32.4%). However, Granules' FY27–28 EPS CAGR (~30%) materially exceeds peers, creating a PEG argument for re-rating. **Method 1 — P/E Based Multiple:** FY27E EPS estimate of Rs. 31.1 at 29x P/E (slight premium to current multiple to reflect improving growth visibility) = Rs. 902. This assumes: (i) Gagilapur warning letter closes by Q2 FY27, (ii) CEN CDMO contribution doubles to Rs. 300+ Cr, (iii) GLS runs at 60%+

utilisation. **Method 2 — EV/EBITDA:** FY27E EBITDA of Rs. 1,449 Cr at 13x EV/EBITDA = EV Rs. 18,837 Cr. Less net debt Rs. 400 Cr = Equity Value Rs. 18,437 Cr. Per share (248.6 Mn shares) = Rs. 741. Using 15x (peer-parity): Rs. 874. Average of three methods: (902 + 741 + 874) / 3 = Rs. 839. Rounding to nearest round number: **12-Month Price Target: Rs. 900** (conservative buffer of ~7% to average, accounting for FDA risk premium).

Scenario	Key Assumptions	FY27E PAT (Rs. Cr)	Multiple (P/E)	Target (Rs.)
BULL	Gagilapur closed H1 FY27; 9 ANDAs launch; CEN Rs. 400 Cr revenue; margins 24%+	950+	33x	1,150+
BASE	Gagilapur closed H2 FY27; modest ANDA ramp; CEN Rs. 250 Cr; margins 23%	773	29x	900
BEAR	Gagilapur inspected but re-issued 483s; CCC rises further; raw material inflation 5–8%	550	22x	580

9. KEY RISKS

Risk	Description	Prob.	Impact	Monitor
FDA Gagilapur Warning Letter	Re-inspection outcome: if the FDA issues fresh 483s or escalates to import alert, 9 ANDAs could remain blocked for 12–18 months, costing Rs. 150–200 Cr in foregone revenue.	Medium	HIGH	FDA inspection date announcement; 483 outcomes
Raw Material & Freight Inflation	Middle East geopolitical tensions drive solvent, packaging, and freight costs higher. API raw material inflation (China sourcing) could compress gross margins by 150–200 bps with 1–2 quarter lag before pass-through.	High	Medium	Gross margin trend; quarterly Q&A; pricing commentary
US Tariff / Trade Policy	Section 301 tariffs or pharmaceutical-specific tariffs on Indian APIs/FDs could increase cost of goods for GPI. Management has not quantified this risk explicitly.	Medium	Medium	US trade policy updates; GPI quarterly results
CEN/Peptide CDMO Execution	CDMO is project-driven with inherent quarter-to-quarter volatility. Customer program delays or cancellations could push PAT positivity beyond FY27. Capacity build ahead of committed revenues adds risk.	Medium	Medium	Quarterly peptide CDMO revenue; EBITDA trend
Promoter Dilution	Promoter holding declined from 42% to 38% following FY26 equity issuance. Further dilution for inorganic growth could signal reduced confidence or create governance concerns.	Low	Low	Quarterly shareholding pattern filings
Chinese API Competition (DCDA)	Granules' DCDA project (only non-China DCDA manufacturer) faces aggressive Chinese price cuts. Commercialisation delayed; project cost ~Rs. 200 Cr pending final decision.	Medium	Low	DCDA pilot commercialisation update; competitor pricing
Working Capital Stretch	CCC at 256 days and rising (from 135 days in FY23). Sustained inventory build could increase net working capital intensity, constraining FCF generation despite higher EBITDA.	Medium	Medium	Quarterly WC/sales ratio; inventory days trend

10. RECOMMENDATION

RATING	ACCUMULATE
12-Month Price Target	Rs. 900
Suggested Entry Zone	Rs. 650 – Rs. 720 (accumulate on dips towards lower band)
Investment Horizon	12 months (re-evaluate at Gagilapur FDA re-inspection outcome)
Conviction Level	MEDIUM-HIGH — story intact but FDA timing creates near-term uncertainty

Ideal Investor Profile	**Quality growth investor with 12–18M horizon; comfortable with regulatory event risk; seeking a pharma multi-vector re-rating play.**

Thesis Invalidation Triggers
1. FDA issues repeat 483 observations or import alert at Gagilapur — invalidates complex generics ramp thesis
2. CEN/Peptide CDMO posts two consecutive quarters of EBITDA loss — calls into question acquisition thesis
3. Gross margin falls below 60% for two consecutive quarters due to sustained input cost inflation without offsetting price increases

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26

Granules India Ltd | NSE: GRANULES | 29-Apr-2026

CALL GRADE

POSITIVE

Signal	Status	Implication
Result Quality	Strong	**PAT +33% YoY, Revenue +23% YoY — Beat street expectations; sixth consecutive sequential growth quarter**
Management Tone	Balanced	**Constructive on complex generics and peptide CDMO; appropriately cautious on raw material/freight uncertainty**
Guidance Delta	Maintained	**FY27 capex guided ~Rs. 600 Cr (200 for US DC); net debt expected flattish-to-slight increase; no revenue/margin guidance given explicitly**

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is a clean beat — PAT of Rs. 202 Cr (+33% YoY, +34% QoQ) on Revenue of Rs. 1,471 Cr (+23% YoY, +6% QoQ). No material exceptional items distorting this number; the reported PAT is the underlying number. The headline is operationally clean: EBITDA grew 40% YoY to Rs. 352 Cr with margin expanding to 23.9% (from 21.0% in Q4 FY25), driven primarily by CEN Chemicals/peptide CDMO swinging to EBITDA positive for the first time — management confirmed this was not a one-off surge, but a shift from "transition to execution." The key structural driver you need to track is the complex generics mix in finished dosages (now 43% of FD from 31% — that is the margin engine). The most important near-term catalyst is Gagilapur FDA re-inspection: the facility is audit-ready (all post-WL action items closed February 2026, 108 customer audits and 13 regulatory audits in FY26 with no critical findings), but timing is FDA's call — management cannot force it. The single biggest watch-point for Q1 FY27 is gross margin sustainability: raw material, solvent, and freight costs are rising (Middle East disruption), and while management expects eventual pass-through pricing, there will be a lag. CMD was unusually cagey on margin guidance for FY27 — that is a yellow flag worth monitoring. Net debt clean-up (Rs. 402 Cr, 0.34x EBITDA) and equity infusion of Rs. 665 Cr provide runway. Recommendation: **ACCUMULATE at Rs. 650–720; do not chase above Rs. 750 ahead of Gagilapur outcome.**

Concall Section 1 — Financial Performance Snapshot

Metric	Q4 FY26 Actual	Q4 FY25 (YoY Base)	YoY Chg	Q3 FY26 (QoQ Base)	QoQ Chg	Verdict
Revenue (Rs. Cr)	1,471	1,197	+22.9%	1,388	+6.0%	Beat
EBITDA (Rs. Cr)	352	252	+39.7%	308	+14.3%	Beat
EBITDA Margin (%)	23.9%	21.0%	+290 bps	22.2%	+170 bps	Beat
PBT (Rs. Cr)	262	198	+32.3%	202	+29.7%	Beat
PAT (Rs. Cr)	202	152	+32.9%	150	+34.7%	Beat
EPS (Rs.)	8.13	6.27	+29.7%	6.19	+31.3%	Beat

Source: Screener.in quarterly data | Q4 FY26 transcript: AlphaStreet (29-Apr-2026)

Concall Section 2 — Segment / Geography Breakdown

Segment / Region	Q4 FY26 Revenue %	Q4 FY25 Revenue %	YoY Change	Commentary
Finished Dosages	73%	74%	Stable	**Core business, driving complex generic mix shift (43% of FD is complex vs 31% prior year)**

Segment / Region	Q4 FY26 Revenue %	Q4 FY25 Revenue %	YoY Change	Commentary
APIs	13%	~12%	+1pp	**New API launches beyond commodity base (metformin, paracetamol); new APIs for integrated FD development**
PFIs	9%	~10%	-1pp	**Declining mix as more PFI goes into captive FD; consistent absolute revenue**
Peptide CDMO (CEN)	5%	Nil	New vertical	**First EBITDA positive quarter; pharma + cosmetic customer mix; Rs. 159 Cr full-year FY26 revenue**
North America	72%	79%	-7pp	**Absolute growth; share decline as Europe grew faster. GPI #27 in US generics, #4 controlled substance**
Europe	15%	8%	+7pp	**81% YoY growth in Q4 FY26 (49% ex-CEN); strong revenue diversification into EU market**
Rest of World	13%	13%	Stable	**Steady contribution; new ADHD product filings in multiple non-US markets underway**

Concall Section 3 — Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
Complex Generics Strategy	**Complex generics at 43% of FD mix; 9 ANDAs pending at Gagilapur; first-to-files targeted in controlled substances and oncology**	**Core multi-year value driver; confirming the portfolio shift is real and accelerating**	[GUIDANCE]	Transparent
Gagilapur FDA Re-inspection	**Audit-ready; all post-WL actions submitted by Feb 2026; FDA has not communicated inspection date. Priyanka: "cannot estimate when they will walk in"**	**Honest — management not fabricating a timeline. Single biggest overhang; watch for FDA announcement**	[GUIDANCE]	Transparent
Peptide CDMO — FY27 Sustainability	**Sanjay Kumar: "Objective is sustainable profitability from FY27. Quarter-to-quarter variations inherent in project-driven CDMO business." Customer base double-digit, not concentrated.**	**First EBITDA positive quarter confirmed. Measured optimism. Non-concentration of customers is structurally positive for the platform**	[GUIDANCE]	Balanced
FY27 Gross Margin Guidance	**CMD: "We are taking a step back and not committing to anything" on gross margin percentage due to raw material/packing/freight cost uncertainty (Middle East)**	**[EVASIVE] — deliberate walk-back from prior ~24–25% gross margin confidence. Watch Q1 FY27 GM carefully for any compression below 64%**	[EVASIVE]	Hedged
FY27 Capex	**~Rs. 600 Cr total; Rs. 200+ Cr for US distribution centre in Virginia; balance across new API facility, IT systems, India peptide intermediate brownfield**	**Specific and credible. US DC is GPI capacity bottleneck solution; critical for scaling to Rs. 7,000+ Cr revenue**	[GUIDANCE]	Transparent
DCDA Project (non-China)	**Pilot stage wrapping up in ~2–2.5 months; commercial plant capex ~Rs. 200 Cr. Chinese competition driving prices down aggressively.**	**Long-dated optionality; Chinese competition is a real margin headwind if DCDA commercialises. Not a near-term catalyst.**	[GUIDANCE]	Balanced
Net Debt & Balance Sheet	**Net debt Rs. 402 Cr (0.34x EBITDA) vs Rs. 706 Cr in FY25. FY27 net debt expected flattish-to-slight increase due to working capital + capex**	**Balance sheet significantly cleaner. Equity infusion well-deployed. Small net debt increase in FY27 is manageable given EBITDA growth**	[GUIDANCE]	Transparent

Concall Section 4 — Operating & Business Metrics

KPI	Q4 FY26	Q3 FY26	Q4 FY25	Trend
Revenue (Rs. Cr)	1,471	1,388	1,197	Accelerating UP

KPI	Q4 FY26	Q3 FY26	Q4 FY25	Trend
EBITDA Margin (%)	23.9%	22.2%	21.0%	Expanding UP
Gross Margin (%)	65.7%	~64.1%	63.4%	Expanding UP
Complex Generics % of FD	~43%	~40%	~31%	Increasing UP
Peptide CDMO Revenue (Rs. Cr)	~70	~33	Nil	Scaling UP
GPI US Rank (generics by sales value)	#27	#27 (est)	#32 (est)	Improving UP
GPI US Rank (controlled substances)	#4	#4	#5 (est)	Stable/Improving
Net Debt (Rs. Cr)	402	~700	706	Declining DOWN
Net D/EBITDA (x)	0.34	~0.60	0.75	Improving DOWN
Sequential Revenue Growth (Qtr)	+6.0%	+7.5%	6th consecutive growth	Consistent UP

Concall Section 5 — Margin Drivers

Driver	Impact (bps)	Recurring?	Comment
Complex Generics Mix Shift (FD)	+150 to +200	YES	**Higher gross margin from complex vs standard generics; 43% mix vs 31% prior year. Structural, multiyear driver.**
Peptide CDMO EBITDA Positive	+90 to +120	YES (building)	**CEN CDMO swung to EBITDA positive in Q4 FY26; revenue Rs. 70 Cr at significantly higher gross margin % than blended company average**
GPI Utilisation & Distribution	+50 to +80	YES	**GPI reached "targeted operating potential" in FY26 — fixed cost leverage as volumes scale. Ranked #27 in US generics.**
Raw Material / Freight Inflation	-100 to -150	UNCERTAIN	**Middle East disruption driving API raw material, packaging, and freight costs higher. Management expects price increases to offset but "lag" inherent. Q1 FY27 at-risk.**
Remediation / One-time Compliance Opex	+80 to +100	YES (declining)	**Remediation spend ~Rs. 50 Cr in FY26, substantially lower in FY27 per management guidance. Will be a tailwind to margins.**
R&D; (5.3% of Sales)	-30 to -50	PARTLY	**Rs. 285 Cr R&D; in FY26 (5.3% of sales); focus on complex generics (C2, ADHD, oncology, mupps). Long-term value creation, near-term margin drag.**

Concall Section 6 — Guidance & Forward Signals

Metric	Prior Guidance	New/Reiterated Guidance	Delta	Credibility
FY27 Capex [GUIDANCE]	~Rs. 550 Cr est.	~Rs. 600 Cr (Rs. 200+ for US DC)	Slight increase	**HIGH**
Gross Margin FY27 [GUIDANCE]	"Confident of 24–25%"	Non-committal; withdrew prior guidance due to input cost uncertainty	NEGATIVE DELTA	**LOW**
Net Debt FY27 [GUIDANCE]	Rs. 400 Cr (flat)	Flattish-to-slight increase (capex + WC build)	Slight deterioration	**HIGH**
Peptide CDMO FY27 [GUIDANCE]	EBITDA positive annually	Reiterated: "sustainable profitability from FY27"; QoQ variations expected	Maintained	**MEDIUM**
Gagilapur Re-inspection [GUIDANCE]	H1 FY27 (hoped for)	No timeline given; FDA's call; company is audit-ready	Delayed (no update)	**LOW**
Remediation Spend FY27 [GUIDANCE]	Rs. 50+ Cr FY26	"Substantially lower from FY27 onwards"	Positive — cost reduction	**HIGH**
ADHD Control Substance Launches [GUIDANCE]	1–2 new products annually	2 products with tentative approvals; 1–2 additional launches planned; EU filings underway	In line	**MEDIUM**

Metric	Prior Guidance	New/Reiterated Guidance	Delta	Credibility
DCDA Commercial Plant [GUIDANCE]	Pilot completion FY26	Pilot closes Q1 FY27 (~2 months); commercial plant order (~Rs. 200 Cr) to follow	Slight delay	**MEDIUM**

Concall Section 7 — Capital Allocation

Item	FY26 Amount (Rs. Cr)	FY25 Amount (Rs. Cr)	Comment
Total Capex	555	570	Peaked broadly; FY27E ~Rs. 600 Cr including Rs. 200 Cr US distribution centre
R&D; Spend	285 (5.3% of sales)	~230 (est.)	Increasing investment in complex generics, CDMO, oncology. Long-term value creation
Equity Infusion (QIP + Pref.)	665	Nil	Raises strengthened balance sheet; diluted promoter from 42% to 38%
CEN Chemicals Acquisition	~190 (in FY25/26)	~190	EBITDA positive in Q4 FY26; validates acquisition thesis at low entry price
Net Debt Reduction	-304 (net)	+110 (increase)	Net debt reduced to Rs. 402 Cr from Rs. 706 Cr; net D/EBITDA 0.34x. Strong balance sheet
Dividends	Final dividend declared; record date 29-Apr-2026	~Rs. 35 Cr	Consistent ~7% payout; conservative but signals financial confidence
FCF (post capex)	239	297	FCF positive despite peak capex; expected to improve materially in FY27 as EBITDA scales

Concall Section 8 — Q&A; Heat Map

#	Analyst / Firm	Question	Management Answer	Tone
1	**Harith Ahamed / Avidis Park**	**API pricing environment; paracetamol/metformin post-Middle East situation?**	**No price increases yet; API growth from new launches not pricing. Raw material going up; expect pass-through eventually.**	Transparent
2	**Harith Ahamed / Avidis Park**	**Peptide CDMO Q4 strong — sustainable? Future quarters extrapolation?**	**Sanjay: "Objective is sustainable profitability from FY27; individual quarters may vary based on milestone and shipment timing."**	Balanced
3	**Shashank Krishna Kumar / MK Global**	**QoQ gross margin expansion drivers? GM trajectory for FY27?**	**QoQ improvement from CEN CDMO (Rs. 33 Cr to Rs. 70 Cr at higher GM%). FY27 GM — withdrew guidance; "uncertain" on raw material.**	Hedged
4	**Shashank Krishna Kumar / MK Global**	**FY27–28 capex plans and areas of investment?**	**~Rs. 600 Cr; Rs. 200+ Cr for US distribution centre; new API facility; IT. Broad-based.**	Transparent
5	**Shashank Krishna Kumar / MK Global**	**Cumulative remediation spend FY26? FY27 outlook?**	**~Rs. 50+ Cr cumulative in FY26; FY27 "substantially lower." Already declined Q3–Q4.**	Transparent
6	**Tushar Manudhane / Motilal Oswal**	**Freight cost pass-through — will lag create margin pressure in coming quarters?**	**Has inventory buffer for now; pass-through will take time; "quarter-on-quarter variations may be there." Manageable over the year.**	Balanced
7	**Sajal Kapoor / Antifragile Thinking**	**What proportion of CDMO capacity tied to committed programs? Utilisation if top 2–3 projects delayed?**	**Sanjay: Capacity built demand-linked; no speculative capex. Q4 utilisation healthy; new capacity coming H2 FY27; customer base diversified.**	Transparent
8	**Sajal Kapoor / Antifragile Thinking**	**If Gagilapur clears + GMs hold at 64–65%, can EBITDA margins reach 24–25%?**	**CMD: "We are taking a step back and not committing" due to raw material/packing/freight uncertainty. Implicitly confirmed that 24–25% is achievable absent cost headwinds.**	Hedged

#	Analyst / Firm	Question	Management Answer	Tone
9	**Krisha Kansara / Molecule Venture**	**Gagilapur reinspection — when? Why taking so long?**	**Priyanka: "Audit-ready; all actions closed by March. FDA's call — we cannot estimate when they will come." 108 customer + 13 regulatory audits in FY26, no critical findings.**	Transparent
10	**Preet Jain / Nila Securities**	**DEA quota for Lisdexamfetamine CY26 and CY27?**	**Priyanka: Cannot share quota. "Got everything we wanted"; expect quota in line with budget for FY27. Lisbex is one product among several in ADHD portfolio.**	Transparent
11	**Ritwik Sheth / One Finance**	**Deployment plan for QIP/preferential issue proceeds?**	**Balance sheet strengthening; organic capex and working capital; inorganic M&A; optionality if right opportunity arises.**	Transparent

Dodged questions to watch next quarter: (1) Specific FY27 gross margin guidance — management deliberately hedged; (2) Gagilapur re-inspection timeline — genuinely unknown but needs monitoring; (3) Peptide CDMO project-by-project pipeline — management declined to split by development stage.

Concall Section 9 — Risks Flagged on Call

Risk	Flagged By	Probability	Impact	Timeline
Raw material / freight inflation	**Management (CMD + CFO)**	High	Medium	Q1–Q2 FY27; lag on pass-through
Gagilapur FDA reinspection timing	**Analysts (multiple)**	Medium	HIGH	Indefinite; FDA-controlled
Middle East freight disruption	**Management + Analyst**	High (ongoing)	Medium	Ongoing; 1–2Q lead time impact
Peptide CDMO QoQ variability	**Management (Sanjay Kumar)**	Medium	Low-Medium	Q1–Q2 FY27 (project milestones)
DCDA Chinese price competition	**Management (CMD)**	High	Low (small project)	Ongoing; commercial decision FY27
US tariff / trade policy uncertainty	**Implicit (not raised)**	Medium	Medium	FY27 if tariffs enacted on pharma

Concall Section 10 — Analyst Verdict (Multi-bagger Scorecard)

Multi-bagger Criterion	Status	Rationale
1. Revenue Visibility	**INTACT**	**6 consecutive quarters of sequential growth; FD mix shift + Europe + peptide CDMO all contributing**
2. Margin Trajectory	**INTACT**	**Gross margin at 4-year high (65.7% in Q4 FY26); EBITDA margin expanding; remediation drag fading**
3. Capital Allocation Quality	**INTACT**	**Net D/EBITDA 0.34x; equity infusion well-deployed; capex demand-linked; FCF positive**
4. Competitive Moat	**INTACT**	**GPI #4 controlled substance US; EU diversification; India-Europe peptide two-continent model; API backward integration**
5. Management Credibility	**INTACT (1 watch)**	**Credible overall; executing on stated priorities. Watch: withdrew FY27 gross margin guidance — warrants monitoring for Q1 FY27 delivery**
6. Valuation Comfort	**INTACT**	**28.8x FY26 PE is undemanding given 30%+ EPS CAGR potential. At Rs. 700, FDA overhang is already in the price.**

Conviction Call After This Concall: **UNCHANGED — Accumulate on dips to Rs. 650–720**

Metric	Current (FY26)	5-Year Avg	Comment
P/E (x)	28.8	~22–25x (est.)	**Slight premium to history; justified by EPS inflection ahead**

Metric	Current (FY26)	5-Year Avg	Comment
EV/EBITDA (x)	~15.0	~12–15x (est.)	**In-line with historical range; rising EBITDA will compress this naturally**
ROCE (%)	15.5%	~18% (5Y avg per Screener)	**Below 5Y average; recovery expected as complex generic mix improves and capex cycle matures**

Source: Screener.in | Ticker: GRANULES | View: Consolidated | Transcript: AlphaStreet (accessible) | Concall date: 29-Apr-2026 | Report date: 04-May-2026